Agenda Item 2-F

Category 3 Items – Areas for Possible Future Consideration Related to ISA 250

Note to IAASB: This document describes the Category 3 items as listed in paragraph 16 of **Agenda Item 2-A**. These items are areas for possible future consideration in a future revision of ISA 250. In progressing the proposed amendments to the International Standards, the Working Group identified other issues related to how they address the auditor's responses to NOCLAR. These issues may go beyond the scope and approach of extant ISA 250. The Working Group does not believe these issues should be addressed in an expedited manner. The Working Group does, however, believe that respondents' consideration of the proposals in the ED, and future consideration of these issues by the IAASB, may be facilitated by including them in the Explanatory Memorandum of the proposed ED as matters not addressed at this time, supported by an appropriate question for respondents

When appropriate, relevant sections of the ISA 250 (or other International Standard) or the IESBA NOCLAR Exposure Draft is included for context.

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225.5 This section addresses: (a) Laws and regulations generally recognized to have a direct effect on the determination of material amounts and disclosures in the client's financial statements; and (b) Other laws and regulations that do not have a direct effect on the determination of the amounts and disclosures in the client's financial statements, but compliance with which may be fundamental to the operating aspects of the client's business, to its ability to continue its business, or to avoid material penalties.	6. This ISA distinguishes the auditor's responsibilities in relation to compliance with two different categories of laws and regulations as follows: (a) The provisions of those laws and regulations generally recognized to have a direct effect on the determination of material amounts and disclosures in the financial statements such as tax and pension laws and regulations (see paragraph 13); and (b) Other laws and regulations that do not have a direct effect on the	It was noted at the Working Group meeting that the distinction between the types of laws and regulations and the different levels of work effort applied to each under extant ISA 250 could be re-evaluated, and an alternative approach considered. See also paragraph 16 of Agenda Item 2-A.

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	determination of the amounts and disclosures in the financial statements, but compliance with which may be fundamental to the operating aspects of the business, to an entity's ability to continue its business, or to avoid material penalties (for example, compliance with the terms of an operating license, compliance with regulatory solvency requirements, or compliance with environmental regulations); noncompliance with such laws and regulations may therefore have a material effect on the financial statements (see paragraph 14).	
225.2 Non-compliance with laws and regulations comprises acts of omission or commission, intentional or unintentional, committed by a client or by those charged with governance, management or employees of a client which are contrary to the prevailing laws or regulations.	**Definition** 11. For the purposes of this ISA, the following term has the meaning attributed below: Non-compliance – Acts of omission or commission by the entity, either intentional or unintentional, which are contrary to the prevailing laws or regulations. Such acts include transactions entered into by, or in the name of, the entity, or on its behalf, by those charged with governance, management or employees.	The IESBA definition is broader as it addresses personal acts. The ISA definition addresses only acts of the entity, in the name of the entity, or on its behalf. By contrast, the NOCLAR definition covers acts of a client and those charged with governance, management, or employees of a client. It was noted at the Working Group meeting that ISA 250 could be expanded to deal with all personal misconduct of those charged with

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		governance, management, and employees related to the business activities of the entity. It was also noted at the Working Group meeting that the list of agents (those charged with governance, management, and employees) in the definition of "non-compliance" in paragraph 11 of ISA 250 may sufficiently broad to include, for example, contractors and sub-contractors. See also paragraph 16 of Agenda Item 2-A.
225.12 If the professional accountant suspects that non-compliance with laws and regulations has occurred or may occur, the professional accountant shall discuss the matter with the appropriate level of management and, where appropriate, those charged with governance.	19. If the auditor suspects there may be non-compliance, the auditor shall discuss the matter with management and, where appropriate, those charged with governance. If management or, as appropriate, those charged with governance do not provide sufficient information that supports that the entity is in compliance with laws and regulations and, in the auditor's judgment, the effect of the suspected non-compliance may be material to the financial statements, the auditor shall consider the need to obtain legal advice.	It was noted at the Working Group meeting that there may be merit in investigating whether ISA 250 should address making inquiries of management or, when appropriate, those charged with governance, regarding NOCLAR that "may occur" – which is included in IESBA's NOCLAR ED. See also paragraph 16 of Agenda Item 2-A.

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	The Auditor's Consideration of Compliance with Laws and Regulations 12. As part of obtaining an understanding of the entity and its environment in accordance with ISA 315,[1] the auditor shall obtain a general understanding of: (a) The legal and regulatory framework applicable to the entity and the industry or sector in which the entity operates; and (b) How the entity is complying with that framework. (Ref: Para. A7) A7. To obtain a general understanding of the legal and regulatory framework, and how the entity complies with that framework, the auditor may, for example: • Use the auditor's existing understanding of the entity's industry, regulatory and other external factors; • Update the understanding of those laws and regulations that directly determine the reported amounts and disclosures in the financial statements; • Inquire of management as to other laws or regulations that may be	It was noted at the Working Group meeting that ISA 250 could include a requirement to obtain an understanding of how management identifies and addresses known or suspected NOCLAR as a component in obtaining an understanding of the entity and its environment. See also paragraph 16 of Agenda Item 2-A.

1 ISA 315, *Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment*, paragraph 11

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	expected to have a fundamental effect on the operations of the entity; • Inquire of management concerning the entity's policies and procedures regarding compliance with laws and regulations; and • Inquire of management regarding the policies or procedures adopted for identifying, evaluating and accounting for litigation claims.	
	14. The auditor shall perform the following audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements: (Ref: Para. A9–A10) (a) Inquiring of management and, where appropriate, those charged with governance, as to whether the entity is in compliance with such laws and regulations; and (b) Inspecting correspondence, if any, with the relevant licensing or regulatory authorities.	It was noted at the Working Group meeting that ISA 620[2] could require the auditor to include in the written agreement with an auditor's expert that the expert must inform the auditor if the expert becomes aware of NOCLAR in the entity. See also paragraph 16 of Agenda Item 2-A.

2 ISA 620, *Using the Work of an Auditor's Expert*

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	ISA 620, *Using the Work of an Auditor's Expert* 11. Agreement with the Auditor's Expert 11. The auditor shall agree, in writing when appropriate, on the following matters with the auditor's expert: (Ref: Para. A23–A26) (a) The nature, scope and objectives of that expert's work; (Ref: Para. A27) (b) The respective roles and responsibilities of the auditor and that expert; (Ref: Para. A28–A29) (c) The nature, timing and extent of communication between the auditor and that expert, including the form of any report to be provided by that expert; and (Ref: Para. A30) (d) The need for the auditor's expert to observe confidentiality requirements. (Ref: Para. A31)	
	14. The auditor shall perform the following audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements: (Ref: Para. A9–A10) (a) Inquiring of management and, where appropriate, those charged with governance, as to whether the entity is in	It was noted at the Working Group meeting that it may be worth further investigation how incidences of NOCLAR are communicated to the group auditor. At its March 2015 IAASB meeting, the IAASB asked the Working Group to also consider this point. The Working Group discussed the

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	compliance with such laws and regulations; and (b) Inspecting correspondence, if any, with the relevant licensing or regulatory authorities.	issue and concluded that it is beyond the scope of the project proposal as it does not relate to the IESBA's NOCLAR proposals. See also paragraph 16 of Agenda Item 2-A.